Syllabus Edition
First teaching 2025
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Small Businesses

Exam code: 0450, 0986 & 0264, 0774

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Why do some businesses remain small?

- Some entrepreneurs choose for their business to remain small
  - In 2021, 98.9% of businesses in the European Union (EU) were classified as **small firms** with less than 49 employees
  - Small businesses **dominate some industries**, such as hair and beauty, home improvement and childcare services

Reasons why small firms exist

- They offer a **personalised service** and focus on building relationships with customers (excellent customer service)
- They are unable to **access financing** for expansion
- They provide a product that is in a **niche market** - small market size but potential for **high profits**
- By remaining small they are able to **respond quickly** to changing customer needs/preferences
- Rapid growth can cause **diseconomies of scale**, which can be avoided by remaining small
- A small **business owner's goal is satisficing** rather than profit maximisation
- Conditions in the **economy** make expanding a business risky at the time
- **Competition** in the market limits opportunities for growth
- Business owners may lack the **management skills** to grow the business

Evaluating the choice to remain small

- Developments in technology often benefit smaller businesses

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

Help me understand

achieve an online presence and target specific groups of customers
    - Online storefronts such as **Amazon Marketplace**, **Etsy** and **Ebay** provide low-cost distribution options

Advantages	Disadvantages
• Small firms often provide **highly customised** or **unique** goods and services, which are sold profitably in small quantities at high prices ○ E.g. Pet grooming in the customer's home • **Personal relationships** can be developed with loyal customers, which helps to generate word-of-mouth advertising • Smaller firms can respond quickly to **changing market conditions** such as changes in fashions and trends	• Small firms are **unlikely to benefit from economies of scale**, as the level of output is lower than that of larger firms • **Access to finance**, such as bank loans or **trade credit** is likely to be limited • **Recruiting** and **retaining high-quality staff** can be challenging, as wage and non-wage benefits are less competitive than those offered by bigger firms • Small business owners may **struggle to take holidays** or **sick leave**, as the business relies on their presence to function

Examiner Tips and Tricks

Avoid assuming small businesses always want to grow – many remain small because of personal choice, niche markets, or limited resources. Be ready to explain these reasons in context

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